

Middle East Weekly Review

September 28 to October 4, 2026

- **Week in brief:** Washington's rejection of Iran's seven day Hormuz plan carried into a week of stalled mediation through Qatar, with no Iranian reply to the US counterproposal by Sunday, while the Saudi and Houthi war moved from missile exchanges toward a planned Yemeni ground offensive and air raids on Sanaa, the G7 answered the fuel squeeze with a 100 million barrel stock release that barely moved Brent, and Washington kept adding forces ahead of the November midterms.
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1. The Week's Arc

The week opened with Iran hardening rather than moving: Araghchi said Tehran was awaiting mediators' "definitive views" on Trump's rejection, the army chief said the strait stays closed until US economic warfare ends, and the IRGC's claimed capture of a second US drone was dismissed by CENTCOM (Sept 28). Brent spiked to \$108.83 intraday before settling at \$105.28 on Sept 28, the first session after Chuseok. Mediation then moved to Qatar: Araghchi met Qatari mediators in New York, carried a US proposal back to Iran's cabinet, and Trump denied an Axios report that he would ease sanctions (Sept 30 to Oct 1). Iran's reply stayed unannounced through the end of the week, and Washington and Tehran remained split on sequencing, with Hormuz first versus nuclear first.

The Saudi and Houthi front gained weight. Houthi missiles and drones kept reaching Saudi cities, including Khamis Mushait and Jazan, and a Saudi strike on a Taiz market killed at least seven (Sept 28). On Oct 2 reports emerged that Riyadh is planning a Yemeni led ground offensive on the Bab el-Mandeb coast with Saudi air support, and on Oct 3 Saudi jets struck Sanaa while the Houthis claimed a hit on an Aramco site south of Riyadh. US involvement stayed indirect: intelligence help, a third carrier group reported, and a Theodore Roosevelt carrier group and Makin Island amphibious group heading out with about 9,000 personnel, with Trump telling a rally the war should end "right after the election."

Energy policy answered the price level rather than the war. The US offered up to 40 million barrels in SPR exchanges (Sept 30), and on Oct 2 the G7 agreed to release up to 100 million barrels of crude and diesel over four months with a frontloaded diesel tranche. Brent barely reacted, settling at \$102.25. The US military completed its Iraq withdrawal and the coalition mission there ended on Sept 30, while the flydubai attack, with reports pointing to the co-pilot's radicalization rather than Iran, and several unattributed tanker hits near Hormuz kept the shipping picture dangerous.

2. Indicator Scoreboard

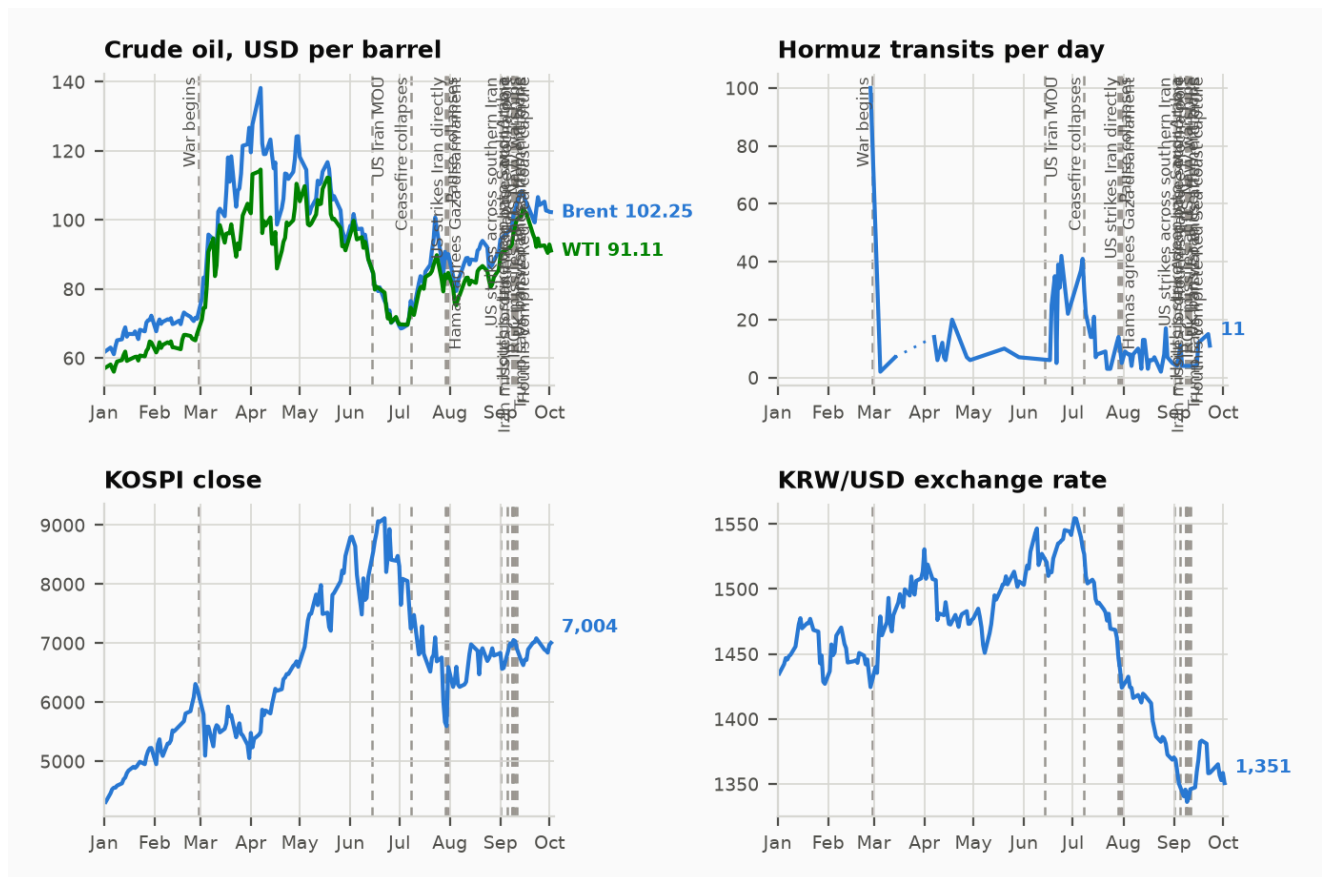
Fourteen new indicators opened Sept 28 to Oct 3 (three on each of Sept 28 and Sept 29, then two a day), plus two more today, and six resolved: four confirmed, two falsified. The ledger now carries 49 open indicators of 221 defined since mid July.

Confirmed this week: IND-20260927-1, IND-20260924-3, IND-20260929-3 and IND-20260929-2 (KOSPI back at or above 7,000 on Oct 2, confirming the Sept 28 drop as a one day shock so far).

Falsified this week: IND-20260906-2 (Korea's Hormuz deployment review, which passed its Sept 28 deadline unresolved) and IND-20260913-1.

Calibration note: The Korean market indicators ran ahead of the war indicators: KOSPI's recovery came from record chip exports rather than from any diplomatic change, a reminder that the ledger's market tests measure the chip cycle at least as much as the war. Today's two new indicators (IND-20261004-1, IND-20261004-2) test a claim and a deployment that rest on single sources, so expect Medium confidence resolutions.

3. Data Trends



Brent settled at \$104.30 on Sept 25, rose to \$105.28 on the Sept 28 reopening session, and ended the week at \$102.25 on Oct 2, a weekly fall of about 2%, with the G7 release producing only a small effect. WTI ended at \$91.11 and the Brent and WTI spread stayed wide. KOSPI fell from 7,080.92 before Chuseok to 6,838.04 by Oct 1 on foreign selling, then rebounded to 7,003.74 on Oct 2, and the won moved from 1,365.1 to 1,350.6 per dollar. Hormuz transit counts remained too thinly sourced to chart reliably, and the weekend had no market sessions.

4. Slow Threads

- **Qatar's Ras Laffan LNG loadings (IND-20260714-4):** still no fresh weekly figure, the longest running open indicator.
- **Yemen's fronts:** air strikes, drone attacks and Taiz fighting continue, now with a planned ground offensive that has not yet started (IND-20261003-1).
- **South Korea's Hormuz deployment question (IND-20260928-2):** unresolved after the Sept 28 deadline passed, with US force additions raising pressure.

- **Iraq after the coalition mission:** militia disarmament was pushed to June 2027 with Kataib Hezbollah and Nujaba refusing to disarm (IND-20260930-2).
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5. Revisions and Lessons

No material correction to `instructions/korea-exposure.md` was needed this week. One lesson: on weekend runs with no market sessions the daily brief should state plainly that Friday's levels stand rather than re-quote them as new, which this week's Oct 4 brief does. Another is that live blog sources with a single outlet should carry Medium confidence at most until a second source appears.